Box 2.2: Convergence in median incomes across small regions (NUTS 3) within selected Member States

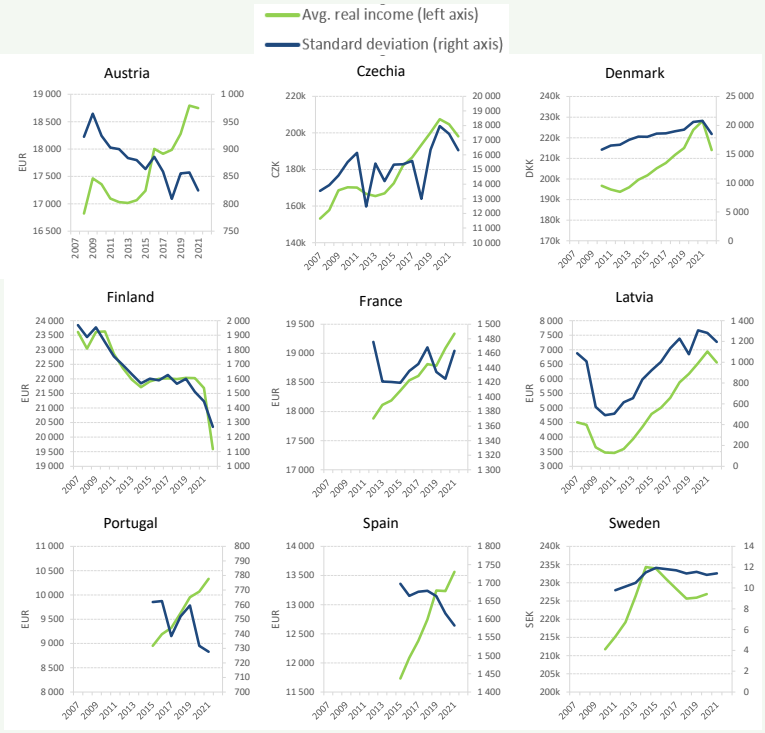
This box provides an in-depth look at developments in incomes in small regions within nine EU Member States ([1]) with sufficiently detailed income data from administrative sources over longer periods of time (typically 2007-2022). ([2]) Compared to the rest of the analysis presented in this chapter, this provides a more granular analysis of geographical disparities in incomes for a large number of NUTS3 regional units. The limitation of these administrative data is that they are not fully harmonised, preventing inter-country comparison of specific results. Following other analyses of this data, ([3]) regions are compared in terms of median incomes that approximate the earnings of a typical person living in a given region.

Regional median incomes, averaged across small regions, have risen in real terms in almost all of the countries analysed (Chart 1). Annual increases range from 0.7% in Sweden between 2011 and 2021 to 2.8% in Latvia between 2007 and 2022. Regional median incomes declined only in Finland, by 1.1% per year on average. Most of this decline occurred in the aftermath of the 2007-2008 financial crisis and in 2022, following Russia's war of aggression against Ukraine and the associated sharp increase in prices. ([4])

Chart 1

Regional median incomes increased, while regional disparities declined in some countries and rose in others

Average (left axis) and standard deviation (right axis) of regional median real disposable incomes, 2007-2022



Note: Different start and end periods across countries reflect differences in data availability. Averages of regional median incomes in a country are not population-weighted. Nominal regional median incomes deflated bu national CPI. Standard deviation is a measre of cross-region (within-country) variation, the higher the standard deviation, the higher the cross-region variation.

Source: For nominal median incomes: administrative data provided bu national authorities; for CPI: OECD (2024)

Absolute differences in regional median incomes declined in some countries but grew in others (Chart 1). Five countries experienced a decrease in absolute income disparities, i.e. convergence (Austria, Finland, France, Portugal, Spain), while the other four showed a rise in income disparities, i.e. divergence (Czechia, Denmark, Latvia, Sweden). In Czechia and Finland, the magnitudes of the changes were particularly large, with standard deviation increasing by 20% between 2007 and 2022 in Czechia and decreasing by 36% between 2007 and 2022 in Finland.

([1]) This section presents preliminary findings from OECD analysis of variation in incomes across small regions over time.

([2]) The administrative data on incomes collected by the OECD provides uniquely granular data across small (NUTS 3) regions. While the data are more granular and timelier than survey data on incomes, they are less harmonised across countries. The analysis thus focuses on within-country regional convergence patterns without attempting to provide cross-country comparisons. Administrative data on incomes within small regions cover nine Member States: Austria, Czechia. Denmark, Finland, France, Latvia, Portugal, Spain, Sweden. The same analysis was done with GDP per capita, as a robustness check, and results were broadly the same.

([3]) (European Commission, 2021a), (Königs, S. et al., (Forthcoming)).

([4]) Nominal incomes increased in Finland over the period, decreasing only in 2022. The decrease in real incomes is therefore purely the result of an increase in the Consumer Price Index (CPI).

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